3. inflation
4. high interest rates

Economic growth

The overall health of the economy can affect the stock market. A good economy is where there is more spending: more people are going to malls and shopping. More people are going to restaurants and dining out. This leaves businesses with more revenue and hopefully more profit. Strong business growth then causes greater investor confidence and increases share prices.

Stocks that get affected by economic growth are known as cyclical stocks. These are stocks such as luxury resorts, hotels or aeroplanes; they do well when people want to spend money, and don't do so well when people are tight on money. 'Secular stocks', on the other hand, do well regardless of how the economy is doing. They're companies people need no matter what. The most common example is how people never stopped buying toilet paper, even during a pandemic.

Unemployment

Unemployment also affects the stock market. If there are more unemployed people, there is lower consumer spending and therefore reduced earning capacity for companies. However, there are still some stocks that perform well during high rates of unemployment. Consumer staples and defensive sectors (and no, I don't mean the army — I mean sectors that have stocks that provide dividends and earnings even in poor markets), as well as industries such as healthcare and utilities, are much better at weathering unemployment and recessions in general.

Inflation

We don't love inflation or increases to the cost of living. Turns out, companies don't like it either.

Remember my lemonade stand from chapter 4? If there is high inflation, as an owner it now costs me more to buy lemons, cups and sugar. This means either I have to increase the price of my lemonade, which will decrease business as not everyone will want to pay $5 instead of $2 for a glass, or